COMPARITIVE LOAN ANALYSIS
REPAYMENT STRATEGY

Interest Rates

Loan Amount

Quick Approval Process

Tenure Period

Outline

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Introduction

- To simplify the decision-making process which helps Mr. Hathodwala choose a repayment plan that covers the Personal life events expenses.
- To evaluate three different financial institutions against the standardized loan amount.
- To calculate the Monthly EMI for each bank to see which options align with Mr. Hathodwala's monthly repayment budget.

Problem Statement

Mr. Hathodwala is planning for his daughter's marriage and requires a loan of ₹15,00,000 to cover the wedding expenses. While multiple financial institutions offer personal loans, the challenge lies in identifying a repayment plan that provides the necessary funds without exceeding his monthly budget.

Objectives

Primary Objective

- To perform a comparative analysis of interest rates, tenures, and monthly payments across three banks

Secondary Objectives

- To evaluate the monthly repayment amounts (EMI) against Mr. Hathodwala's budget, specifically filtering out options
- To calculate and compare the total interest paid over various periods (5, 8, and 10 years)

Executive Summary

- To navigate away from high-strain options like Left Join Bank (~₹35,685/month) and focus on CBI Bank or Y Axis Bank, which offer more manageable monthly outflows (~₹20,663 and ~₹24,793 respectively) suited for his current budget.
- The impact of loan duration, noting that while CBI Bank offers the lowest EMI through a 10-year term, Y Axis Bank provides a "middle ground" strategy 8 years at 12.5% saving nearly ₹1,00,000 in total interest compared to the 10-year plan.

Methodology

- Comparative: It evaluates multiple variables (Interest Rates and Tenures) across three different "cases" (Left Join Bank, Y Axis Bank, and CBI Bank) to determine the most efficient outcome

- Quantitative Approach: The study relies entirely on numerical data to reach a logical conclusion

Raw Data & Analysis

- MS Excel

Results

Loan Details

Bank	Left Join Bank	Y Axis Bank	CBI Bank
Loan Amount	₹ 15,00,000.00	₹ 15,00,000.00	₹ 15,00,000.00
Annunal Interest Rate	15.00%	12.50%	11.00%
Loan Period in years	5	8	10

Loan Summary

Monthly Payment (EMI)	₹ 35,684.90	₹ 24,793.21	₹ 20,662.50
Total cost of loan	₹ 21,41,093.71	₹ 23,80,148.45	₹ 24,79,500.20
Total Interest Amount	₹ 6,41,093.71	₹ 8,80,148.45	₹ 9,79,500.20

Discussion

Findings & Implications

- Left Join Bank was excluded due to an unsustainable EMI (~₹35,685). Y Axis Bank and CBI Bank are the only viable options that fit the monthly repayment budget.
- While CBI offers the lowest EMI, Y Axis Bank is the superior choice because it saves nearly ₹1,00,000 in total interest by utilizing a shorter 8-year tenure.
- Choosing Y Axis Bank reduces the debt commitment by 2 full years compared to CBI Bank, allowing Mr. Hathodwala to settle the wedding expenses and return to debt-free status sooner
- Y Axis Bank is the recommended choice. It provides the best balance of "Affordable EMI" (~₹24,793) and "Interest Optimization," meeting all primary project goals.

Conclusion

- This analysis successfully navigates the loan landscape for Mr. Hathodwala’s daughter's marriage, identifying Y Axis Bank and CBI Bank as the only options that align with his monthly repayment capacity

- To optimize long-term wealth, Y Axis Bank is the recommended choice, it delivers a superior balance by offering a manageable EMI while reducing the debt tenure by two years and saving approximately ₹97,800 in total interest compared to the 10-year alternative.